

Commercial and Investment Formula Cheat Sheet

Potential gross income (PGI)

- vacancy and collection loss (V&C)
+ other income (OI)

Effective gross income (EGI)

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- operating expenses

Net operating income (NOI)

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- expenses
- annual debt service (ADS)

Before-tax cash flow (BTCF)

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- income taxes (IT)

After-tax cash flow (ATCF)

Net operating income (NOI)

+ reserves for replacements (RR)
- mortgage interest (MI)
- annual depreciation (AD)
- carryover/suspended losses (CSL)

Taxable income (TI)

× marginal rate (MR)

Income tax (IT)

Square Footage

Loss factor = rentable area - usable area

Add-on factor = rentable area - usable area*

Rentable area = usable area + share of common area

Usable area = rentable area - share of common area

From a tenant's perspective, the difference between rentable and usable area is a **loss factor, because they don't use the full area they rent. An investor would call it an **add-on factor**, because it's an added area the tenant will pay for.*

Capitalization Rate

Rate = Income ÷ Value

Income = Rate x Value

Value = Income ÷ Rate